

which safeguards creditors in the event of any default on the part of the company . They are in the form of debentures, loans from financial institutions and loans from commercial banks. Notice that in Unsecured loans are other short term borrowings without a specific security. They are fixed deposits, loans and advances from promoters, inter-corporate Borrowings, and unsecured loans from the banks. Such borrowings amount

What should one look for in a Profit and Loss account?

For a company, the profit and loss statement is the most important

Document presented to the shareholders. Therefore, each company tries to give maximum stress on its representation/ misrepresentation. One should

Consider the following:

§ Whether there is an overall improvement of sales as well as profits (operating, gross and net) over the similar period (half-yearly or annual) previous year. If so, the company's operational managements good.

§ Check for the other income carefully, for here companies have the scope to manipulate. If the other income stems from dividend on the investments or interest from the loans and advances, it is good, because such income is